

Hybrid Liquidity Pockets

User Tutorial and Accuracy Guide

How to operate the TradingView script, interpret its levels, and improve signal quality for stocks, index products, and commodities.

Order Flow	Options Levels	Liquidity Pocket
Footprint POC Value area Imbalance rows	Call wall / put wall Magnet / pin strike User-assigned weight	Confluence zone Higher-probability reaction area Location, not blind signal

Quick Start

- 1. Add the indicator to a chart that supports footprint/order-flow data.
- 2. Set the correct trading session for the instrument you actually trade.
- 3. Enter only the top 3–5 option strikes from your chain, OI, or GEX work.
- 4. Give each strike an honest weight instead of making every level “strong.”
- 5. Use the script to identify location, then wait for price-action confirmation.
- 6. Review signal quality daily and retune row size, merge distance, and pocket width.

1. What the Script Does

This script is a hybrid liquidity map. It combines footprint-derived order-flow structure from the active chart with manually entered option levels so the trader can identify price areas where multiple sources of liquidity may cluster.

In practice, the indicator is answering a simple question: where is price most likely to encounter meaningful participation, defense, absorption, or reaction?

The script uses three core ingredients:

- Order flow: repeated points of control, value-area boundaries, and imbalance rows.
- Option context: manually entered support, resistance, or magnet strikes based on options-chain, open-interest, or gamma analysis.
- Ranking logic: zones with stronger order-flow evidence and better option confluence receive higher scores.

Important operating principle

The indicator is best used as a location tool rather than a standalone entry signal. A highlighted pocket tells you where to pay attention. It does not eliminate the need for confirmation, risk management, or higher-timeframe context.

2. What the User Must Supply

The order-flow side can be derived from the chart. The options side depends on the trader. The quality of those user inputs is the single largest driver of output quality.

Input	What it means	Why it matters
Strike	The price level from your options chain, OI map, or GEX work.	Bad strikes create bad confluence.
Weight	The relative importance of that strike.	Overweighting weak levels creates noise.
Type	Support, Resistance, or Magnet.	Shapes how you interpret likely reaction behavior.
Session	The auction window the footprint learns from.	Wrong session means wrong flow context.
Row size	Granularity of the footprint structure.	Too small is noisy; too large is blunt.

Merge distance	How close zones must be to combine.	Controls clutter vs. over-merging.
Pocket width	How wide the final actionable zone is.	Too narrow misses; too wide excuses everything.

Practical rule

A clean chart with 2–3 excellent strikes is usually better than a crowded chart with 5 mediocre strikes.

3. Installation and First-Time Setup

1. Open TradingView and paste the script into Pine Editor.
2. Save it under a clear name such as “Hybrid Liquidity Pockets.”
3. Apply it to a chart and confirm that footprint/order-flow data is available for the product and account tier you are using.
4. Start with a 5-minute or 15-minute chart for liquid stocks, index products, or actively traded commodities.
5. Turn on the session restriction for equities unless your method specifically relies on overnight flow.

Suggested starting settings

Instrument	Timeframe	Ticks/row	Imbalance %	Pocket width
Large-cap stocks	5m/15m	10–15	250–300	4–8 ticks
Index ETFs	5m/15m	8–12	250–300	4–6 ticks
Crude oil / metals	5m/15m	4–10	250–350	6–12 ticks
Very volatile names	5m	12–25	300–400	wider zones

How to read the labels

- LP#: the rank of the pocket among the displayed zones.
- OF: a pocket built only from order-flow evidence.
- OF+OPT: a pocket that sits near one of your option levels and therefore receives a confluence boost.
- S: the combined score. Higher usually means more relevant.
- buy / sell / neutral: directional pressure inferred from the footprint behavior.

- hits: the number of times similar order-flow activity reinforced that area.

4. How to Enter Option Levels Correctly

The script becomes substantially better when the option levels are selected with discipline. Do not enter levels simply because they are round numbers or nearby strikes. Use levels that matter because of positioning, hedging pressure, or expected pinning behavior.

A simple daily premarket workflow

6. Pull the options chain or your preferred OI/GEX view before the session.
7. Mark the main call wall, put wall, and the most likely magnet or pin strike.
8. Enter only the strongest 3–5 levels into the script.
9. Assign weights based on relative importance, not emotion.
10. During the session, let the script show where those levels overlap with real traded flow.

Recommended weighting model

Weight	Interpretation	Typical use
1	Minor level	Secondary strike or weak magnet
2	Moderate level	Useful, but not dominant
3	Strong level	Important support or resistance
4	Very strong level	Dominant wall or major dealer level
5	Highest conviction	Rarely used; reserve for the clearest level

Example

If a stock is trading around 102:

- 105 strike, weight 4, Resistance: large call wall overhead.
- 100 strike, weight 4, Support: strong put wall below.
- 102.5 strike, weight 2, Magnet: likely pin or gravity level near spot.

5. How to Trade Around a Pocket

A pocket is an area where reaction is more plausible, not guaranteed. The correct process is to observe price behavior at the zone and then act only when the tape, candle structure, or broader setup supports your thesis.

Scenario	What to look for	Typical response
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Short near resistance pocket	Price rallies into resistance, stalls, then rejects	Use the pocket as location and trigger on rejection or failed breakout
Magnet behavior	Price orbits around a strike with repeated pulls back toward it	Expect compression or pinning rather than clean expansion
Pocket failure	Price slices through a highlighted zone with strong participation	Treat the failure as information; the next pocket may become the new location

Useful confirmations

- VWAP agreement or reclaim
- Higher-timeframe trend alignment
- Failed breakdown or failed breakout pattern
- Absorption or strong reversal candle at the zone
- Clear reduction in momentum into the pocket, followed by response

6. The Accuracy Hierarchy

If you want the indicator to become meaningfully more accurate, focus on the improvements below in order. The first three matter much more than small cosmetic tuning.

- 1. Better option levels** — Use chain-derived levels that are genuinely important. This is the largest edge lever on the user side.
- 2. Correct session selection** — Align the footprint with the actual auction you trade. Wrong session means wrong learning window.
- 3. Proper footprint granularity** — Adjust ticks-per-row so the script captures structure rather than microscopic noise or over-smoothed blobs.
- 4. Honest weights** — Do not assign every strike a weight of 4 or 5. Force the chart to reveal your best ideas, not all ideas.
- 5. Correct merge distance** — Enough compression to prevent clutter, but not so much that unrelated levels become one zone.
- 6. Correct pocket width** — A zone should be wide enough to reflect market microstructure but narrow enough to remain actionable.
- 7. Appropriate decay** — Fast markets need fresher pockets; balanced markets can respect older pockets longer.
- 8. Product selection** — Liquid instruments and active options markets generally produce cleaner results than thin names.

How to troubleshoot signal quality

Problem	Likely cause	Adjustment
Too many pockets	Rows too fine or weak levels overweighted	Raise ticks-per-row, raise minimum score, reduce option inputs
Good zones but messy chart	Merge distance too small	Increase merge distance modestly
Script seems late	Rows too coarse or pockets too wide	Reduce ticks-per-row or narrow zone width
Touches keep missing	Pocket width too narrow for the product	Widen the pocket slightly
Levels feel irrelevant	Wrong session or stale option levels	Correct the session and refresh strikes daily

7. Common Mistakes to Avoid

- Using the indicator like a buy/sell signal instead of a location tool.
- Entering too many option strikes instead of only the best levels.
- Keeping yesterday's option context on the chart without refreshing it.
- Ignoring higher-timeframe trend or macro context.
- Treating every highlighted pocket as equally tradeable.
- Using thin instruments with weak volume or poor options participation.

8. Daily Checklist

	Pre-session checklist
☐	I am using the correct session for the instrument.
☐	I entered only the strongest 3–5 option strikes.
☐	My weights reflect actual conviction, not guesswork.

☐	My footprint row size matches the product's volatility.
☐	My pocket width is realistic for this product.
☐	I know the higher-timeframe trend and key reference levels.
☐	I will wait for confirmation at the pocket instead of trading blindly.

Bottom line

The script becomes valuable when the trader supplies high-quality option levels, aligns the footprint with the correct session, and uses the output as a map for decision-making rather than a substitute for judgment. Good inputs and disciplined interpretation turn the indicator from a visual overlay into a practical execution aid.